Place your bets

Commodities such as oil, metals, and wheat are bought and sold in commodity markets, where sellers and buyers agree on a price. An oil-drilling company, for example, agrees to supply crude oil to an oil refinery for a certain amount per barrel. But, unlike a street market where a shopper pays for goods and takes them home, the oil isn't actually there for the buyer to use right away. It may be in a different country, and may even still be in the ground. Nor does any money change hands at this point. The buyer simply promises to pay the agreed price for a certain quantity of oil at an agreed date in the future, and the seller promises to supply that amount at that price. The agreement they make is known as a forward contract, or just a "forward." Because the date that the deal is actually completed may be months away, both buyer and seller are betting on the future price of oil, whether it will go up, or down. Before the oil is delivered and paid for, the contract to supply the oil, or to buy it, can be sold to another seller or buyer. The buyer agrees to buy from whomever holds the contract to supply, and the seller to supply the oil to whomever owns the contract to buy. The two sides of the forward contract can change many times between the original agreement and its end date.

Promises, promises